COMPLIMENTARY RESOURCE

Bali Real Estate Investment Guide 2026

A comprehensive analysis of Bali's property market for international investors — covering market data, legal frameworks, projected returns, and risk assessment.

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CHAPTER 01

Market Overview & Tourism

Bali's real estate market has completed its post-pandemic recovery and entered a phase of sustained growth. The island welcomed approximately **6.3 million international visitors in 2024**, surpassing its pre-COVID peak of 6.27 million in 2019. The Indonesian government has set a target of 7.5 million arrivals for Bali in 2025.

6.3M INTERNATIONAL VISITORS (2024)	**8–12%** ANNUAL PROPERTY APPRECIATION
14–22% GROSS RENTAL YIELD	**70–80%** AVERAGE OCCUPANCY RATE

Tourism remains the primary demand driver. Australia accounts for approximately 25% of arrivals, followed by China (~12%), India (~8%), the UK (~6%), and the US (~5%). Russia and the CIS region contribute 4–5% and growing.

A significant structural shift is the rise of **digital nomads and long-stay visitors** (1–6 months), supported by Indonesia's B211A visa. This segment drives demand for quality furnished villas and directly impacts the short-term rental market. Ubud has emerged as the preferred base for this demographic, combining reliable internet infrastructure with a wellness-oriented lifestyle that appeals to remote professionals.

> *"Bali is no longer just a vacation destination. It has become a global hub for remote professionals, wellness tourism, and lifestyle-driven investment — creating year-round demand that traditional resort markets lack. Ubud, in particular, has evolved from a cultural tourism center into a full-scale lifestyle ecosystem."*

CHAPTER 02

Property Pricing by Region

Bali's property market is highly localized. Prices per square meter vary significantly depending on region, proximity to amenities, land tenure (leasehold vs. freehold), and construction quality. The figures below reflect villa/house pricing on leasehold terms (25–30 years).

REGION	USD / M²	5-YEAR TREND	PROFILE
Ubud / Gianyar	$1,500 – $2,800	+12–18% / yr	Fastest-growing lifestyle market; wellness, culture & remote work hub; UNESCO heritage
Canggu	$2,500 – $4,000	+8–12% / yr	Mature market approaching saturation, digital nomad hub
Seminyak	$3,000 – $5,000	+5–8% / yr	Mature premium market, slowing growth
Uluwatu / Bukit	$2,000 – $3,500	+10–15% / yr	Rapidly developing, ocean views
Nusa Dua	$2,500 – $4,500	+5–7% / yr	Premium resort area, institutional investors
Tabanan	$1,000 – $1,800	+20–30% / yr	Emerging, lowest base, speculative
Sanur	$1,800 – $3,000	+6–8% / yr	Stable, family-oriented market

> *The Ubud/Gianyar region offers a compelling combination: entry prices 40–60% below Canggu and Seminyak, with comparable or higher growth rates. Unlike southern Bali's saturated markets, the Ubud corridor still has room for organic appreciation driven by genuine demand rather than speculation.*

Historical Price Dynamics

Between 2019 and 2021, prices dropped 0–5% across most regions due to the pandemic. The recovery phase (2021–2023) saw aggressive 10–15% annual growth, stabilizing at 8–12% in 2023–2025. Overall, the average 5-year capital appreciation across Bali stands at **50–80%**, depending on the district.

Notably, the Ubud area has outperformed expectations during the recovery phase, driven by a surge in wellness tourism and the relocation of remote workers seeking alternatives to the increasingly congested southern coast.

Why Entry Price Matters

Regions with lower entry prices per m² and strong demand fundamentals offer the best risk-adjusted returns. A villa purchased at $1,800/m² in Ubud has significantly more upside than the same investment at $4,000/m² in Canggu, where prices are already approaching a ceiling set by rental yield compression.

CHAPTER 03

Rental Yields & Occupancy

Short-Term Rental (Airbnb, Booking.com)

PROPERTY TYPE	GROSS YIELD	AVG. OCCUPANCY	AVG. NIGHTLY RATE
Villa 2–3 BR (Ubud)	14–22%	70–80%	$150–$280
Villa 1–2 BR (Canggu)	10–14%	60–70%	$120–$180
Villa 3–4 BR (Seminyak)	8–12%	55–65%	$200–$350
Premium Villa (Uluwatu)	8–12%	55–65%	$250–$400

Why Ubud Leads in Yield Efficiency

Ubud's rental market benefits from a unique combination of factors that create outsized returns relative to investment cost:

- **Lower acquisition cost** — entry prices 40–60% below southern Bali translate directly into higher yield percentages
- **Premium nightly rates** — wellness-oriented travelers and retreat guests pay $150–$280/night, comparable to Canggu despite lower property costs
- **Year-round demand** — unlike beach destinations, Ubud's cultural and wellness appeal is not seasonal, maintaining 70–80% occupancy even in low season
- **Lower competition** — Airbnb supply in Ubud grew just 12% in 2024 vs. 40%+ in Canggu, preserving pricing power

Long-Term Rental (Annual Lease)

Long-term annual leases offer lower but more predictable returns: **5–9% gross yield**. This model eliminates management overhead and platform commissions, but sacrifices the upside of peak-season pricing.

Net Yield Calculation

Operating expenses — property management (15–20%), maintenance, taxes, repairs, platform commissions — typically consume 30–40% of gross rental income. Realistic **net yields range from 5–9%** for short-term rentals in southern Bali and **8–15%** in the Ubud/Gianyar corridor, where lower acquisition costs amplify returns. Long-term rentals yield **4–6%** net across all regions.

> *Seasonality is a critical factor. High season (June–September, December–January) sees 85–95% occupancy across Bali. Low season (February–April) drops to 40–55% in beach areas but remains at 65–75% in Ubud, thanks to its year-round wellness and cultural tourism base.*

CHAPTER 04

Legal Framework for Foreign Buyers

Indonesia's property laws restrict direct land ownership by foreigners. However, several legal structures enable foreign investment with varying levels of rights, costs, and complexity.

STRUCTURE	DURATION	WHO CAN USE	NOTES
Hak Milik (Freehold)	Perpetual	Indonesian citizens only	Full ownership; not available to foreigners
Hak Pakai (Right to Use)	30+20+20 years	Foreigners with KITAS/KITAP	Personal use only; min. value IDR 5 billion (~$310K)
HGB via PT PMA	30+20+20 years	Foreign companies	Commercial use; min. capital IDR 10 billion (~$620K)
Leasehold	25–30 years (typical)	All foreigners	Most common; contractual, not ownership right
Nominee Agreement	Freehold	All foreigners	Legally void; high risk, courts deny enforcement

Indonesia Golden Visa (Launched 2024)

Indonesia introduced a Golden Visa program offering long-term residency through property investment:

- **5-year visa**: minimum property investment of IDR 5 billion (~$310,000)
- **10-year visa**: minimum property investment of IDR 10 billion (~$620,000)
- No requirement for a sponsor or employer
- Right to reside, travel freely, and open bank accounts in Indonesia

> *Nominee arrangements — where a local citizen holds title on behalf of a foreigner — are legally unenforceable. Indonesian courts consistently rule in favor of the registered title holder. We strongly advise against this structure.*

CHAPTER 05

Taxation & Costs

TAX / FEE	RATE	WHEN APPLICABLE
BPHTB (Acquisition Tax)	5%	On purchase, based on cadastral value (NJOP)
PPh (Seller's Tax)	2.5%	On sale price
PPN (VAT on new builds)	11%	New construction only
PBB (Annual Land Tax)	0.1–0.3%	Annually, based on NJOP
Rental Income Tax	10% / 20%	10% for residents, 20% for non-residents
Corporate Tax (PT PMA)	22%	On net profit

The total acquisition cost (taxes, notary, legal fees) typically adds **7–10%** to the purchase price. Annual holding costs (tax, insurance, maintenance) run approximately **1.5–3%** of property value.

CHAPTER 06

ROI Projections & Exit Strategies

Model A: Entry-Level — 1–2 Bedroom Villa, $150,000

COMPONENT	5-YEAR TOTAL	10-YEAR TOTAL
Net Rental Income	$60,000 – $90,000	$140,000 – $210,000
Capital Appreciation	$45,000 – $75,000	$90,000 – $150,000
Total ROI	70 – 110%	153 – 240%
Annualized ROI	14 – 22%	15 – 24%

This model represents the most accessible entry point into the Ubud/Gianyar market — compact 1–2 bedroom villas priced from $119,000 to $187,000. The lower investment threshold combined with strong rental demand makes this an attractive option for first-time Bali investors seeking maximum yield percentage.

Model B: Premium — 2–3 Bedroom Villa, $350,000

COMPONENT	5-YEAR TOTAL	10-YEAR TOTAL
Net Rental Income	$140,000 – $175,000	$315,000 – $420,000
Capital Appreciation	$105,000 – $175,000	$210,000 – $315,000
Total ROI	70 – 100%	150 – 210%
Annualized ROI	14 – 20%	15 – 21%

Premium 2–3 bedroom villas in the $335,000–$399,000 range generate higher absolute returns and attract a quality-focused tenant profile willing to pay $200–$280 per night. These properties also command stronger resale value due to their larger footprint and premium finishes.

Exit Strategies

- **Leasehold resale** — medium liquidity, value decreases linearly in last 5–10 years of lease term. Optimal exit window: years 5–15.
- **Business sale (villa + management)** — premium of 20–30% over asset value for properties with proven revenue history.
- **Lease extension** — typically negotiable at market rate at the time of renewal.

> *Leasehold assets are depreciating by nature. The optimal holding period for maximum total return is 5–15 years, when the remaining lease term is still attractive to secondary buyers.*

CHAPTER 07

Infrastructure & Growth Drivers

Major Projects

- **North Bali International Airport** — approved, capacity 20M passengers/year, projected completion 2027–2029. Key beneficiary regions: Buleleng, Tabanan.
- **Ubud Bypass Road** — under construction, significantly improving access between Ubud and the southern corridor, reducing travel time from the airport by 15–20 minutes.
- **Gilimanuk–Mengwi Expressway** — connecting West Bali to the southern corridor. Improves accessibility to Tabanan.
- **Ngurah Rai Bypass Expansion** — reducing traffic congestion in southern Bali.
- **Sanur Waterfront Redevelopment** — repositioning Sanur as a new lifestyle hub.

Ubud & Gianyar Growth Catalysts

Beyond infrastructure projects, the Ubud/Gianyar region benefits from organic growth drivers that are difficult to replicate in other areas:

- **UNESCO Cultural Heritage** — Ubud's status as Bali's cultural capital provides a permanent tourism anchor independent of trends
- **Wellness & Retreat Economy** — world-class yoga studios, meditation centers, and holistic health facilities attract a high-spending, long-stay demographic
- **Coworking & Digital Infrastructure** — established coworking spaces (Outpost, Hubud) and reliable fiber internet support the remote work community
- **F&B Scene** — Ubud's restaurant scene has reached international recognition, driving culinary tourism
- **Lower Density, Higher Quality of Life** — unlike the congested southern coast, Ubud offers a quieter environment that commands premium rental rates from quality-focused guests

> *While the North Bali Airport will benefit northern regions, the Ubud Bypass Road is the most immediate infrastructure catalyst for central Bali. Combined with the region's established lifestyle ecosystem, this positions the Ubud corridor as Bali's strongest mid-term growth story.*

CHAPTER 08

Risk Assessment

Regulatory Risk

- Active enforcement of short-term rental licensing (Pondok Wisata) since 2024
- Potential tightening of foreign ownership regulations
- Nominee agreements are legally void — courts consistently deny enforcement

Market Risk

- **Southern Bali oversupply**: Canggu Airbnb listings grew +40% in two years, creating significant downward pressure on occupancy and nightly rates. Seminyak faces similar saturation in the mid-range segment.
- **Canggu infrastructure strain**: rapid development has outpaced infrastructure — traffic congestion, flooding, and waste management issues are increasingly deterring premium tenants and long-stay visitors.
- Mid-range segment across southern Bali is saturated; premium quality properties in less developed areas remain in deficit
- Secondary market liquidity for leasehold is lower than freehold; typical sale timeline: 3–12 months

Regional Risk Comparison

RISK FACTOR	CANGGU / SEMINYAK	UBUD / GIANYAR	TABANAN
Supply Oversaturation	High	Low–Medium	Very Low
Regulatory Pressure	High	Medium	Low
Infrastructure Strain	Severe	Moderate	Undeveloped
Demand Stability	Volatile (trend-driven)	Stable (culture + wellness)	Uncertain
Resale Liquidity	High	Medium–High	Low

Currency Risk

The Indonesian Rupiah (IDR) has annual volatility of ±10–15% against USD. Rental income is typically denominated in USD, while operating expenses and taxes are in IDR — providing a natural hedge. However, capital gains realized in IDR may be eroded by currency depreciation upon conversion.

Natural Risk

Bali is in a seismic zone with active volcano (Mount Agung). Property insurance is recommended but typically excludes volcanic activity. Monsoon season (November–March) can cause flooding in low-lying coastal areas. Elevated inland regions such as Ubud are generally less affected by coastal flooding.

CHAPTER 09

Regional Comparison: SE Asia Markets

PARAMETER	BALI	PHUKET	DA NANG	CEBU
Price / m² (villa)	$1,500–4,000	$2,500–5,000	$1,000–2,000	$1,200–2,500
Gross Rental Yield	10–22%	6–10%	5–8%	6–9%
Capital Growth	8–15% / yr	5–8% / yr	8–12% / yr	5–7% / yr
Foreign Ownership	Leasehold / Hak Pakai	Freehold (condo)	Very limited	Freehold (condo, 40%)
Digital Nomad Visa	Yes (B211A)	Yes (DTV)	No	No
Currency Risk	High (IDR)	Medium (THB)	Medium (VND)	High (PHP)

Bali offers the **highest rental yields** in the region, driven by strong tourism demand and the digital nomad ecosystem. Thailand provides better infrastructure and freehold options for condominiums. Vietnam offers the lowest entry prices with high growth potential but limited foreign ownership rights.

CHAPTER 10

Step-by-Step Buying Process

1. Define Investment Objectives

Clarify your goals: rental income, capital appreciation, personal use, or a combination. This determines the optimal region, property type, and legal structure.

2. Due Diligence & Site Selection

Visit shortlisted properties. Verify land certificates (SHM, SHGB), zoning regulations (ITR), building permits (PBG), and the reputation of the developer. Engage an independent notary (PPAT).

3. Choose Legal Structure

Based on your budget, intended use, and risk tolerance, select the appropriate ownership structure: leasehold for simplicity, Hak Pakai for personal residence, or PT PMA for commercial operations.

4. Negotiate & Sign Preliminary Agreement

Execute a Letter of Intent (LOI) with deposit (typically 10–20%). The LOI should specify price, payment schedule, handover date, and penalties for non-performance.

5. Legal Review & Contract

Engage an independent lawyer to review the sale-purchase agreement (PPJB) or lease agreement. Ensure clear clauses on lease extension, force majeure, and dispute resolution.

6. Payment & Registration

Execute payments per the agreed schedule. For leasehold, the agreement is notarized. For Hak Pakai/HGB, registration is done at the local Land Office (BPN).

7. Handover & Management

Upon completion, conduct a thorough inspection. Appoint a property management company if pursuing rental income. Obtain necessary permits (Pondok Wisata for short-term rental).

This guide is provided for informational purposes only and does not constitute financial, legal, or investment advice. All figures are based on publicly available market data as of early 2025 and may not reflect current conditions. Property markets are inherently volatile, and past performance does not guarantee future results. Consult qualified legal and financial professionals before making investment decisions. Global Bali Home makes no warranties regarding the accuracy or completeness of the information presented.

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